

THRESHOLD ENTERPRISE SYSTEMS

Performance Management Policy

Document Id	HR-006
Title	Performance Management Policy
Department	Human Resources
Classification	CONFIDENTIAL
Version	1.0
Status	ACTIVE
Effective Date	2026-01-15
Document Type	POLICY
Allowed Roles	MANAGER, HR_MANAGER, ADMIN

1. CONFIDENTIAL CLASSIFICATION AND PURPOSE

*** CONFIDENTIAL DOCUMENT - STRICT DEPARTMENT AND ROLE-BASED ACCESS CONTROLS APPLY ***

This document contains proprietary human capital frameworks, compensation correlation methodologies, performance calibration workflows, and employee assessment protocols for Threshold Enterprise Systems. It is classified as CONFIDENTIAL and access is strictly restricted to personnel holding authorized managerial and human resource titles (MANAGER, HR_MANAGER, ADMIN). Standard workforce members (EMPLOYEE role) are not permitted to access this document in the knowledge base.

The purpose of this Performance Management Policy is to establish a rigorous, objective, equitable, and transparent framework for evaluating employee contributions, aligning individual achievements with enterprise strategic goals, providing structured coaching, and administering merit-based compensation and promotions.

2. Scope and Organizational Coverage

This policy governs all performance evaluation, feedback, calibration, and developmental improvement processes across all business units and operational offices of Threshold Enterprise Systems in India, the United States, the United Kingdom, and Singapore.

It applies to all regular full-time and part-time personnel who have completed at least ninety (90) days of continuous employment within the applicable review cycle. Interns, temporary contractors, and third-party vendors are evaluated through separate vendor milestone service agreements.

3. Performance Planning and Objective Alignment (OKRs)

Performance management begins with structured, forward-looking objective setting. Threshold Enterprise Systems utilizes the Objectives and Key Results (OKR) framework to ensure organizational alignment from executive leadership down to individual contributors.

During Q1 of each calendar year (and within thirty days of joining for new hires), managers and employees collaboratively establish three to five measurable OKRs. Objectives must be specific, ambitious, and clearly aligned with departmental business deliverables, software architectural milestones, or corporate governance targets.

OKRs are formally recorded in the Workday Performance Module and reviewed dynamically during bi-weekly 1-on-1 meetings. While objectives remain stable, key results may be adjusted mid-year if corporate strategy or project priorities pivot significantly.

4. Bi-Annual Performance Review Cadence and Milestones

Threshold Enterprise Systems operates a structured bi-annual performance review rhythm comprising two distinct phases:

1. Mid-Year Progress Review (June): A lightweight, forward-focused evaluation designed to assess goal trajectory, discuss skill development, identify operational blockers, and recalibrate expectations. Formal ratings are not assigned, but written progress summaries are submitted to Workday.
2. Annual Performance Evaluation (November - December): A comprehensive, backward-looking and forward-planning review that evaluates complete calendar year accomplishments, core competency demonstrations, peer feedback, and OKR completion rates. This evaluation results in a formal calibrated performance rating that directly influences annual merit increases, bonuses, and promotion eligibility.

5. Standardized 5-Tier Rating Scale and Calibration Framework

To ensure consistency across disparate technical departments and global regions, performance is evaluated using a standardized 5-tier rating scale:

- Tier 5: 'Exceptional Impact' (Consistently exceeds all OKRs, demonstrates transformative technical or operational leadership, serves as a role model across the enterprise; typically 5-10% of workforce).
- Tier 4: 'Strong Contributor' (Consistently exceeds several goals, delivers superior quality with minimal oversight, mentors colleagues and advances team capabilities; typically 20-25% of workforce).
- Tier 3: 'Successful Delivery' (Consistently meets all core expectations and deliverables, demonstrates dependable competency, makes valuable contributions to team goals; typically 55-60% of workforce).
- Tier 2: 'Needs Development' (Inconsistently achieves expectations, delivers uneven quality, requires excessive supervision or remediation; typically 5-8% of workforce).
- Tier 1: 'Unsatisfactory' (Fails to meet minimum performance standards, demonstrates sustained inability or unwillingness to perform duties; typically 1-3% of workforce).

Departmental Calibration Sessions: Before ratings are finalized or shared with employees, departmental leadership, People Managers, and HR Business Partners convene in confidential calibration sessions. These sessions audit proposed ratings against objective delivery metrics to eliminate managerial grade inflation, address unconscious bias, and ensure fairness across teams.

6. Manager Responsibilities and Continuous Feedback Culture

People Managers bear primary responsibility for cultivating employee talent, clarifying expectations, and ensuring no employee is ever surprised by their annual review rating. Ongoing, bi-directional communication is the cornerstone of this policy.

Managers are required to conduct bi-weekly 1-on-1 coaching sessions with each direct report, lasting a minimum of thirty minutes. These discussions must encompass active project progress, professional well-being, blocker removal, and constructive feedback.

Managers must document significant achievements and performance concerns contemporaneously in Workday Manager Notes to substantiate review assessments and provide evidence-based evaluations.

7. Multi-Rater (360) Feedback and Employee Self-Assessments

Comprehensive evaluations require diverse operational perspectives. Ahead of the Annual Performance Review, employees complete an electronic Self-Assessment reflecting on their accomplishments, key learnings, and areas for growth.

Simultaneously, the Workday system solicits confidential Multi-Rater (360) Feedback from three to five cross-functional peers, technical collaborators, and project stakeholders chosen jointly by the employee and manager.

Peer feedback focuses on teamwork, communication clarity, architectural collaboration, and cultural alignment. Peer comments are aggregated and anonymized by HR to encourage candor and protect collegial relationships.

8. Performance Improvement Plans (PIP) Framework

When an employee's performance falls to 'Needs Development' or 'Unsatisfactory' levels, informal coaching must immediately transition into structured intervention via a formal Performance Improvement Plan (PIP).

A PIP is a structured 30, 60, or 90-day developmental program developed collaboratively by the direct manager and the HR Business Partner. The PIP document explicitly details: specific performance deficiencies; objective, measurable deliverables required to reach acceptable standing; specific support, tooling, or coaching provided by the company; and a schedule of weekly checkpoint evaluations.

PIP Outcomes: At the conclusion of the PIP period, one of three formal determinations is reached: 1) Successful Completion: Performance satisfies required standards, PIP concludes, employee returns to good standing; 2) PIP Extension: In exceptional circumstances where significant progress is shown, a single 30-day extension may be authorized by HR; 3) Unsuccessful Completion: The employee fails to satisfy objective criteria, resulting in immediate separation of employment for cause.

9. Confidential Handling and Storage of Performance Records

All performance ratings, self-assessments, calibration notes, peer reviews, PIP documents, and manager notes are classified as CONFIDENTIAL personnel records under the Threshold Enterprise Systems Information Security and Data Privacy policies.

Performance files are stored exclusively within access-restricted tables in the Workday Human Capital Management repository, protected by role-based access control (RBAC) and AES-256 database encryption. Only the employee's direct manager, second-level skip-level manager, designated HR Business Partner, and system administrators hold authorization to view specific employee performance files.

Sharing, printing, screenshotting, or discussing performance evaluations with unauthorized team members constitutes a severe breach of confidentiality and is grounds for disciplinary action.

10. Compensation Linkage and Promotion Eligibility

Annual performance ratings directly inform merit salary increases, annual incentive bonuses, equity refresh grants, and promotion progression. Rating correlations are calculated using executive-approved compensation matrices published to HR Managers annually in Q4.

Employees holding Tier 1 or Tier 2 ratings are ineligible for annual bonuses, merit pay increases, or internal promotions. Employees holding Tier 4 or Tier 5 ratings are prioritized for leadership development cohorts, high-impact architecture assignments, and accelerated promotion pipelines.

Promotions require sustained performance at the next career level for a minimum of two consecutive review cycles, endorsed by departmental leadership and validated by the Global Talent Review Board.

11. HR Escalation, Dispute Resolution, and Rating Grievances

If an employee believes their final performance rating was assigned unfairly, influenced by bias, or calculated without consideration of material evidence, they may file a formal Rating Grievance within ten (10) business days of receiving their evaluation.

Rating grievances are submitted in writing to the Director of Employee Relations. The grievance must substantiate the dispute with documented milestones, peer communications, or objective work deliverables.

Employee Relations conducts an independent review, interviewing the employee, manager, and calibration committee representatives. A formal written determination is issued within fifteen business days. The determination of the Employee Relations Review Committee is final and binding.